



ILLUSTRATION BY RAJ VERMA

ing average in sectors that are traditional and low technology intensive.

Employment growth, however, is more in new industries like motor vehicles; electrical equipment; metal & metal products and chemical & chemical products. But in most of these sectors, TFP is negative. Labour intensive sectors like textiles and food products have low employment growth. In the metric of value added per person employed, the divergence is significant, from an average of ₹86,000 in wood products to ₹77 lakh (90 times) in the refinery segment.

Low TFP stems from the twin issues of scale and innovation. Nearly 40% of manufacturing in the unorganised sector employs two persons on average. Even in the organised ASI sector, 35% of factories producing just 3.2% of overall ASI GVA, have been scale constrained. ASI data for 2022-23 indicate that factories with employment in excess of 2,000, with a share of just 1.36% of factories, produced 31% of GVA. Factories with more than 100 workers, accounting for a little over 20% of factories, produced 87% of GVA. Factories with investment above ₹10 crore, which

is currently the MSME threshold, accounting for 14% of factories, produced 80% of value added. With oligopolistic structure at the top and family outfits at bottom, both either reluctant or unable to improve efficiency, Indian manufacturing is hardly likely to reach the target share in GDP in the medium term.

To overcome these, we suggest three options. First is clustering. Second is labour reforms. Government regulation of labour markets has typically been on three fronts: the wage setting process, working conditions and the hiring and firing process. At a minimum, labour codes must be implemented. The third relates to reducing compliance costs.

Studies show that manufacturing establishments have a variety of statutory obligations to discharge, which are costly, time-consuming and often ineffective.

There are options to increase efficiency apart from increasing R&D expenditure from 0.64% of GDP. We need automation, ERP systems, AI and digital tools in areas where productivity can leap. The government has a big role to play in improving infrastructure, maintaining a reserve of critical inputs and overhauling GST. The current deficit in infrastructure and defence production should be leveraged to get both investment and technology.

We cannot avoid mentioning the MSME ecosystem. Finance, technology adoption and marketing need focus from the government and markets. Meeting capital requirements of MSMEs without collateral with government guarantee is critical.

Apart from policy changes, there is a need for a change of mindset at all levels. **BT**

Views are personal